MARLOW TAX & ADVISORY LTD
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# INDEPENDENT BUSINESS REVIEW

Sutherland Logistics Limited — prepared for Sterling Commercial Bank plc — Final, 11 March 2026

### Important notice

This report has been prepared by Marlow Tax & Advisory Ltd ("Marlow") for the sole use of Sterling Commercial Bank plc (the "Bank") and Sutherland Logistics Limited (the "Company") in connection with the proposed amendment of the Company's senior facilities. It is based on information provided by management and on Marlow's review and analysis. Marlow has not audited the underlying information and accepts no liability to any third party. This report is subject to the terms of our engagement letter dated 27 January 2026.

## 1. Executive summary

The Company is a profitable but over-leveraged contract logistics and warehousing business. Trading deteriorated in H2 FY25 following the loss of a major grocery contract and cost inflation in agency labour and energy. As a result, the Company breached its leverage and interest cover covenants at 31 December 2025. Management has implemented a cost-reduction programme and is in advanced discussions to onboard two replacement contracts. Our base case shows the business returning to covenant compliance by Q4 2026 provided that (a) additional liquidity of approximately £3,500,000 is made available, and (b) the amortisation profile on Facility A is re-cut. We consider the proposed restructuring to be a viable basis for the Company to trade through its current difficulties.

## 2. Trading and financial performance

Revenue and EBITDA over the review period are summarised below. FY26 is the current financial year (year ending 31 December 2026); figures are management's latest forecast.

| £'000 | FY23 (A) | FY24 (A) | FY25 (A) | FY26 (F) |
|---|---|---|---|---|
| Revenue | 48,210 | 51,340 | 49,870 | 47,600 |
| Gross profit | 9,160 | 9,750 | 8,420 | 8,560 |
| Adjusted EBITDA | 6,420 | 6,810 | 4,930 | 5,480 |
| EBITDA margin | 13.3% | 13.3% | 9.9% | 11.5% |
| Net debt | 21,400 | 20,100 | 20,650 | 19,900 |
| Net debt / EBITDA | 3.33x | 2.95x | 4.19x | 3.63x |

The fall in FY25 EBITDA to £4.93m drove the leverage ratio to 4.19x against a covenant of 2.75x. The FY26 forecast assumes a partial recovery in EBITDA to £5.48m as cost actions take effect and replacement volumes ramp from Q2 2026.

## 3. Short-term liquidity (13-week cashflow)

The Company's 13-week cashflow shows a low point in working capital in late April 2026, when a quarterly rent and VAT payment coincide. Without additional facilities, headroom under the RCF is forecast to be exhausted in the week commencing 21 April 2026. The proposed Facility B of £3,500,000 provides sufficient liquidity to absorb this trough and to fund restructuring costs, leaving forecast minimum liquidity above the proposed £1,500,000 covenant.

| 13-week cashflow (£'000) | Wk 1–4 | Wk 5–8 | Wk 9–13 |
|---|---|---|---|
| Receipts | 11,840 | 12,210 | 12,930 |
| Operating payments | (10,560) | (11,980) | (11,420) |

| 13-week cashflow (£'000) | Wk 1–4 | Wk 5–8 | Wk 9–13 |
|---|---|---|---|
| Debt service & fees | (420) | (1,180) | (540) |
| Net cashflow | 860 | (950) | 970 |
| Closing liquidity (pre new money) | 2,310 | 1,360 | 2,330 |
| Closing liquidity (with Facility B) | 5,810 | 4,860 | 5,830 |

## 4. Turnaround plan and sensitivities

Management's turnaround plan comprises: (i) the onboarding of the Halcyon Retail and a regional distribution contract (combined annualised EBITDA contribution of c.£1.6m); (ii) depot rationalisation in the Midlands (annualised saving c.£0.7m); and (iii) renegotiation of agency labour rates. We have sensitised the base case for a six-month delay in the new contracts and a 10% under-delivery of cost savings:

| Scenario | FY26 EBITDA | FY26 leverage | Covenant (3.00x by Dec-26) |
|---|---|---|---|
| Base case | £5.48m | 3.63x | Met by Q4 2026 |
| Downside (contract delay) | £4.95m | 4.02x | Breach risk at Sep-26 test |
| Severe (delay + cost slip) | £4.60m | 4.33x | Likely breach — further support needed |

## 5. Security and estimated outcome

We have prepared an estimated outcome statement comparing a going-concern restructuring with a hypothetical administration. On a going-concern basis the Bank is expected to recover in full. In an administration, recoveries on the floating charge assets (principally debtors and the Coventry freehold) are estimated at 58–72 pence in the pound on the senior debt, before the costs of the process. The restructuring therefore represents a materially better outcome for the Bank.

## 6. Conclusion and recommendation

We consider that, with the proposed new money and amended terms, the Company has a reasonable prospect of trading through its difficulties and returning to covenant compliance. We recommend that the Bank supports the restructuring, subject to close monitoring against the 13-week cashflow and the milestones in the turnaround plan, and to the financial covenant package set out in the term sheet.